Client: HSBC

Ensuring your wealth-being

Long-term, strategic wealth management can help to build a better, more sustainable future.

As we consider the 'new normal' and begin to adapt to life in a post-pandemic world, people and businesses have started to recalibrate their priorities.

Many investors are looking more closely at where their wealth is being deployed and are looking at ways to adjust their portfolio in favour of investments that reflect a more sustainable approach to society and the environment.

Issues around the environment, society and governance (ESG) had been growing in importance for high-net-worth individuals before Covid-19, but HSBC Private Bank has seen even stronger inflows into such solutions during the pandemic.

"This partly reflects the rising investor demand for more sustainable investment solutions that can help them to manage risk more effectively," says Fan Cheuk-wan, chief investment officer Asia for HSBC Private Bank. "But the pandemic has also prompted many investors to consider investment opportunities that can help the world move towards a rebuilding process that focuses on creating a better future."

Sustainable investment has commonly been identified as a long-term investment megatrend, but the massive global response to the pandemic has helped to change perceptions about how quickly governments and businesses can respond. As a result, portfolios and attitudes are changing to reflect expectations of a much more rapid shift.

In 2020, several major economies made explicit commitments to a net zero future and Fan predicts that 2021 will be a pivotal year for sustainable investment as the US rejoins the Paris climate change agreement and, China, the world's largest carbon-emitting country, highlights carbon neutrality and green initiatives as key elements of its recently announced 14th Five-Year Plan.

"A sustainable future is more attainable now that the world's two largest carbon-emitting countries are making solid commitments to fighting climate change alongside global partners," says Fan.

SOCIAL EQUITY

Sustainability is not just about the environment, and Fan notes that investors are increasingly interested in solutions that are also aligned with the UN's Sustainable Development Goals (SDG) and other social-oriented factors.

Besides doing good, SDG-aligned investments can generate stable, long-term returns across fixed income and credit asset classes as companies that are engaged in sustainable development projects also generate relatively resilient income and cash flow.

Fixed-income opportunities that meet sustainability criteria can be more challenging to source than for public equity, which means that credit issued to finance SDG objectives can be extremely attractive to investors, both to meet their ESG goals and to help build more balanced portfolios.

Companies that embrace and advocate issues around social equity are also increasingly valued by sustainability-focused investors after the events of 2020, when the pandemic focused attention on healthcare equality and, more recently, the uneven distribution of Covid-19 vaccines, while the Black Lives Matter movement brought worldwide attention to racial inequality.

"At HSBC, we truly believe that companies that adopt principles of diversity and inclusion, including within the management and leadership teams, also help to bring a more sustainable corporate strategy and business model," says Fan.

INVESTMENT SOLUTIONS

Family offices or high-net-worth individuals that adopt the proposition of sustainable investing follow a variety of approaches to embedding ESG into their portfolios.

Integration

One of the most common approaches is ESG integration, sometimes known as ESG-enhanced investment or ESG factors, which employs positive and negative screening to identify companies that do well in managing ESG risk and are positioned to perform well in the low-carbon transition.

One of the benefits of this approach is that it can be reflected in actively managed or discretionary solutions, long-only funds or even ETFs, across a multi-asset portfolio.

"Instead of going after individual, single securities, investors can position in a better-diversified investment vehicle to achieve their sustainable investment objectives," says Fan. "We have a very stringent product due diligence process to assess the ESG credentials of the underlying investment vehicles to help our clients mitigate greenwashing risk."

While some solutions may brand themselves as green, HSBC's due diligence process looks into the underlying strategies and the investment approach to determine whether such solutions truly ally with clients' investment objectives as stated in in their investment proposition.

Thematic

Thematic ETFs provide dedicated exposure to the structural growth factors exposed to green technologies and the disruptive trends that will drive the global low-carbon transition.

Fan says that ESG thematic fund solutions have seen strong inflows during the past six months, partly in response to positive announcements from China and the US. The Biden administration has already indicated plans to roll out massive investments in green infrastructure, focused on green technology, renewable energy and grid infrastructure.

Meanwhile in China, the commitment to carbon neutrality will require massive investment in clean energy, electric vehicles and the whole supply chain to deliver on these promises.

"Thematic investment funds are uniquely exposed to the growth and opportunities brought by the global fight against climate change, so a lot of new investment vehicles have been rolled out with a focus on renewable energy, electric vehicles, climate change solutions and sustainable consumption," says Fan.

Impact investing

With a longer investment horizon, many impact investment opportunities tend to occur in the private equity space and attract a lot of interest among ultra-high-net-worth investment clients, who tend to have a stronger focus on long-term investments, family legacy and wealth transfer.

"While some aspects of the climate crisis represent an imminent threat, the low-carbon transition is really a multi-decade project and requires a longer investment horizon," says Fan. "This is going to become a prominent investment trend."

Many of these opportunities are directing capital towards transformation projects and technological innovations that will positively impact the environment and also contribute to innovative solutions. At the same time as engineering positive impact, these investments are also designed to generate sustainable financial returns.

QUALITY CONTROL

Some of the biggest concerns for investors in the ESG sector surround data quality and disclosure, particularly in Asia, but Fan says the region is rapidly making strides to catch up.

"Regulators in Asia are now setting up policy reviews and enhancing their ESG regulatory frameworks," she says. "We continue to see that the gap in terms of the regulatory requirements between Asian markets and the West are now starting to narrow."

This is important, as more stringent ESG information disclosure requirements will help long-term investors to apply ESG factors in portfolio construction. Without better disclosure, there is a risk that ESG investments can exclude markets and opportunities where capital is most needed, which is why it is encouraging that regulators in emerging markets are embracing the value of much better quality ESG disclosure.

Similarly, there has been some criticism that ESG portfolios tend to favour large companies that can afford to make the costly disclosures, but Fan says that many small cap companies are actually among the most likely to embrace ESG principles, especially in tech and other innovative sectors. As with so many aspects of ESG, the divide is largely generational.

PERFORMANCE

This bias towards health and tech sectors has helped to drive significant returns for sustainable investment solutions during the past year, as these are the principal sectors that have benefited from significant outperformance over the course of the pandemic, especially compared to polluting sectors such as mining, oil and gas, and heavy industries.

While this performance is welcome and has helped to drive further interest in the sector, ESG investing is not a short-term strategy.

"Looking at the medium-term return outlook of sustainable investments we believe that ESG investing will deliver a stronger long-term financial return mainly because of the investment process," says Fan. "ESG factors themselves are actually risk mitigating because you are screening out those companies that are most vulnerable to ESG risks, limiting your portfolio exposure."

However, as governments and businesses increasingly direct investment towards sustainability, it is clear that ESG investing is now a portfolio approach that is capable of delivering returns across the investment horizon.